

Equity Volatility Strategy

Intraday Momentum Deep Dive (Part I)

The recent rally in semiconductor stocks, further amplified by rising AUM in leveraged ETFs, has enabled **intraday momentum strategies to deliver exceptional returns**. In this report, we provide a deep dive to offer more insightful understanding across the following areas:

- **Macro Background & Underlying Selection:** Which macro environment and choice of underlying assets drive superior PnL for these strategies?
 - **Volatility Regimes:** PnL impact in different volatility environments
 - **Underlying Volatility:** How does the volatility level of the underlying asset affect PnL?
 - **Gamma Supply & Leveraged ETF Effects:** Assessment of gamma dynamics and the influence of leveraged ETFs.
- **Signal Selection & Execution Timing:** What signals should be used, and what is the optimal execution window?
 - Trigger signals and methods for measuring the magnitude of moves
 - Impact of event dates (macro events and earnings releases)
 - Entry and exit timing—Is 3:30 PM the new 4:00 PM?
- **Strategy Enhancement:** Key takeaways for improving the base strategy. As intraday momentum may underperform during range-bound periods, we identify complementary approaches to enhance positioning:
 - Integration with systematic strategies in **SPX 0DTE and 1DTE options**
 - Single-stock FVA for **short vega exposure without shorting gamma**

Global Quantitative and Derivatives Strategy

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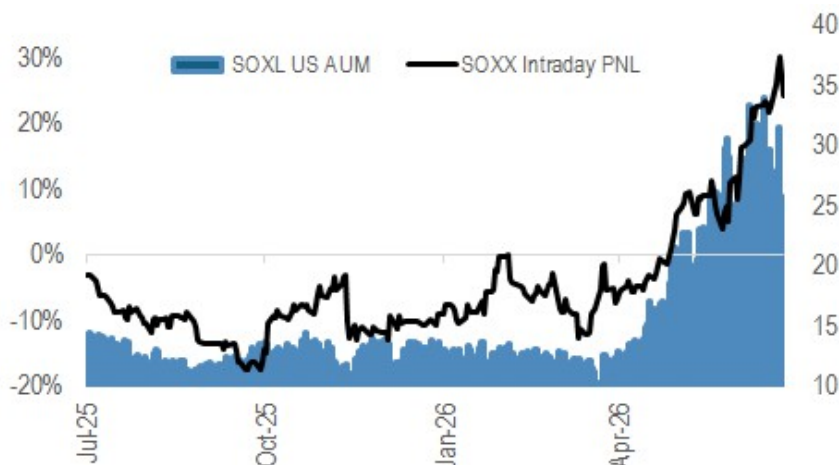
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Figure 1: Zoom in SOXX Intraday Momentum Base Strategy PnL vs AUM in SOXL ETF

Left - Strategy Return, Right - ETF AUM



Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

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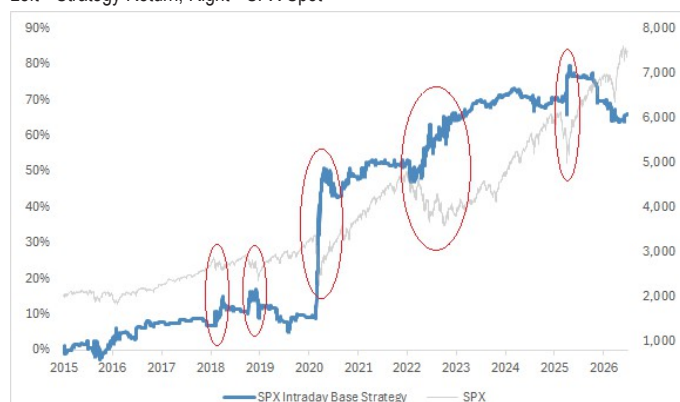
See page 17 for analyst certification and important disclosures.

Resurrection of Intraday Momentum

Intraday momentum has been viewed as a defensive strategy that delivers **orthogonal returns during market drawdowns** ([link](#)) (Figure 2). However, such a strategy has been disappointing since 2023 particularly in the SPX, with a brief delivery during Liberation Day being the exception.

Figure 2: Intraday Momentum Base Strategy PnL in SPX vs Spot

Left - Strategy Return, Right - SPX Spot



Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

Figure 3: Intraday Momentum Base Strategy PnL in SOXX vs Spot

Left - Strategy Return, Right - SOXX Spot

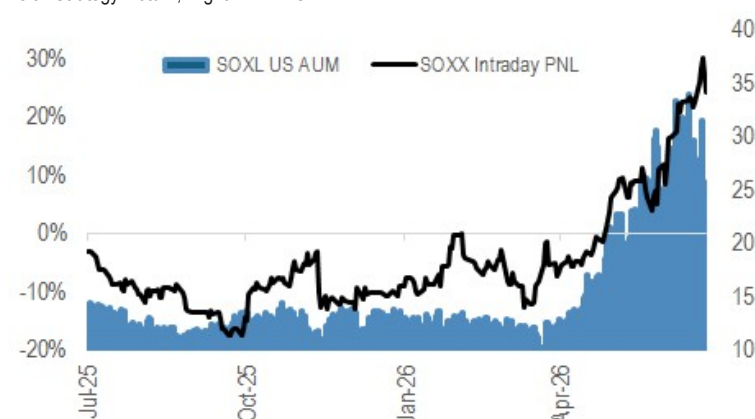


Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

Intraday momentum on the SOXX had a better performance, while still suffering most of H2 2025, started to revive with a **significant positive PnL over the past two months** (Figure 3). The sizable **price increase in the semi stocks**, coupled with the rapid **increase in levered ETF AUM** formed a perfect recipe for amplified intraday momentum PnL (Figure 4).

Figure 4: Zoom in SOXX Intraday Momentum PnL vs AUM in SOXL ETF

Left - Strategy Return, Right - ETF AUM



Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

In this report, we conduct a deep dive with a **base strategy** in SPX and SOXX. Using 5 minute intervals, we buy when the price is 1% above the previous close, sell below -1% and flat the book on the close. We examine the pitfalls and ways to improve the strategy, as well as explorations in the single stock universe.

When It Works and When It Doesn't

To better understand the behavior of the intraday strategies, we conduct the study in topics below to narrow down the optimal solution.

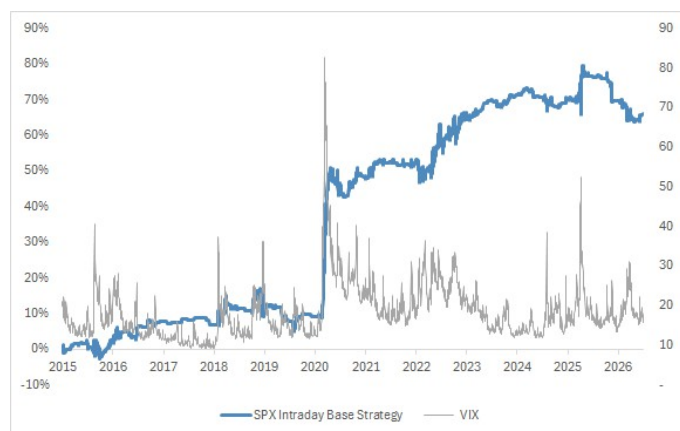
Macro Background and the Underlying Choice

Volatility Regime

The intraday strategy is defensive as the delivery is associated with periods of **high volatility**, because those are usually periods when **high close-to-close trading ranges** are achieved. As equity markets experience a left skew, this means higher volatility during corrections, hence the strategy can act as a good portfolio hedge.

Figure 5: Intraday Momentum Base Strategy PnL in SPX vs VIX

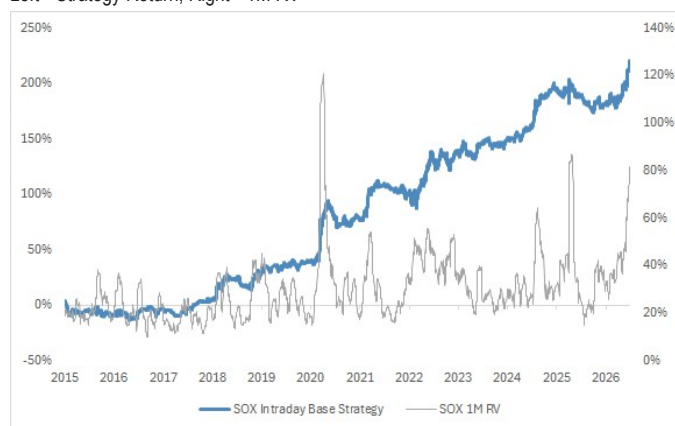
Left - Strategy Return, Right - VIX



Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

Figure 6: Intraday Momentum Base Strategy PnL in SOXX vs Realized Vol

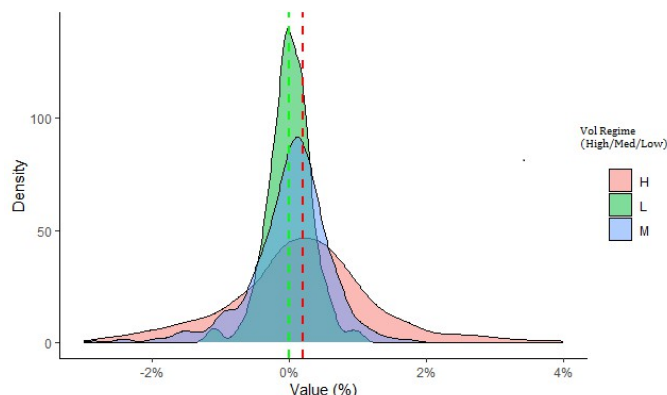
Left - Strategy Return, Right - 1M RV



Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

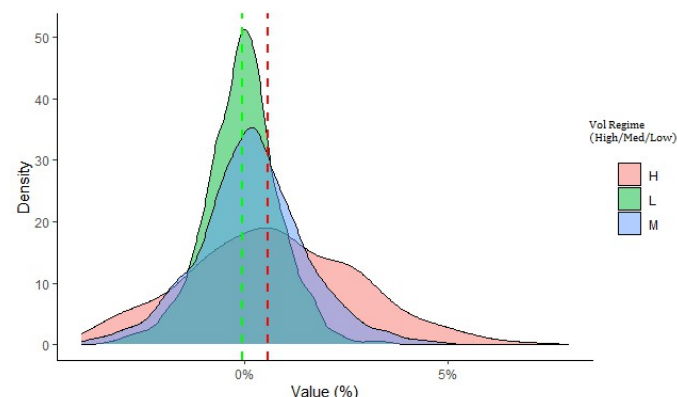
The distribution of PnL per trade shows that the high vol periods deliver a much higher median PnL in both SPX and SOXX compared to low vol (Figure 7, Figure 8). However, the recent delivery of PnL in SOXX is also associated with **high vol period**, but at the same time **an upward move in spot** instead, which is unusual.

Figure 7: Distribution for SPX PnL in Vol Regimes (15/21 Boundary)



Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

Figure 8: Distribution for SOXX PnL in Vol Regimes (25/45 Boundary)



Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

The high volatility identifier is not limited to the time period, but also to the **underlying**. We witness a much higher PnL delivered in the SOXX strategy compared to SPX as **SOXX having a much higher vol than SPX**. Does that mean higher volatility stocks deliver more than lower vol stocks too?

Volatility of the Underlying

We explore the universe of stocks with a greater than \$20bn market cap and good options market liquidity for further investigation. To standardize the signal, we use a breakeven level based on **the implied volatility of 1M options** for 1x standard deviation move as the **base strategy**, with adjusted start and exit time from 11am - 3:30pm (see next section). Both the average PnL and the hit ratio per trade show **better results for the higher volatility underlyings**.

Figure 9: PnL and Hit Ratio for Intraday Momentum Strategy since 2022

214 Liquid US stocks

IV_Regime	AvgPnL_bps	Hit_Ratio	% Trade
Very Low(<16)	1.27	49.5	2%
Low(16-25)	-1.59	48.5	22%
Med Low(25-35)	-1.58	49.2	30%
Med High(35-48)	0.94	50.2	23%
High(48-72)	3.8	50.8	16%
Very High(72-88)	6.88	51.8	3%
Ultra High(>88)	16.69	52.5	2%

Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

If we assume allocating 100% notional for each stock triggered, the cumulative PnL shows a clear **pick-up in the high vol cluster** compared to the medium-low vol stocks. The difference is even more noticable in 2026.

Figure 10: Cumulative PnL for Stocks Greater than 48 Vol Compared to Less



Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

Gamma Supply and Levered ETF

That said, even for stocks with high volatility, we witness a **divergence between intraday momentum PnL** and one explanation would be the **supply from dealer's inventory on gamma**. From our high frequency data on listed options ([link](#)), most underlyings give dealers long gamma position. We see a bias towards positive results and hit ratio for **the stocks that had short gamma inventory into the day**.

Figure 11: Intraday Momentum PnL Better for Stocks with Dealer Short Gamma Inventory

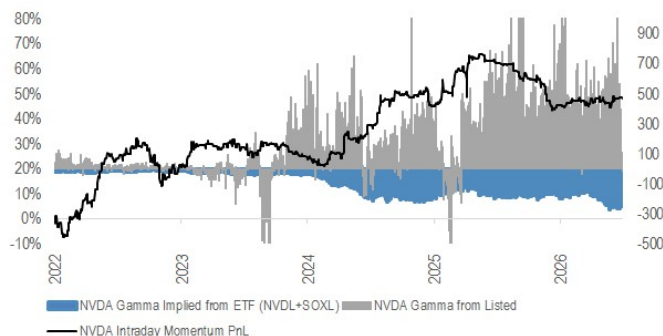
	AvgPnL	Hit_Ratio	N_Obs
Dealer Long Gamma	-0.005%	49.3%	64%
Dealer Short Gamma	0.026%	50.2%	36%

Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

Levered ETFs introduce a short gamma effect from end of day rebalancing which are not captured from listed options. Rebalance would be $AUM * Leverage * (Leverage - 1) * 1\%$ for each percentage move as the proxy short gamma amount. We will cover this in a separate note in more detail. With the recent enthusiasm in the semi cluster, this impact has become very noticeable, causing a **divergence in stock volatility** ([link](#), [link](#)) and PnL from intraday momentum strategy among the stocks.

Figure 12: Dealer's Gamma from Listed Compared to Short Gamma from Top ETFs in NVDA

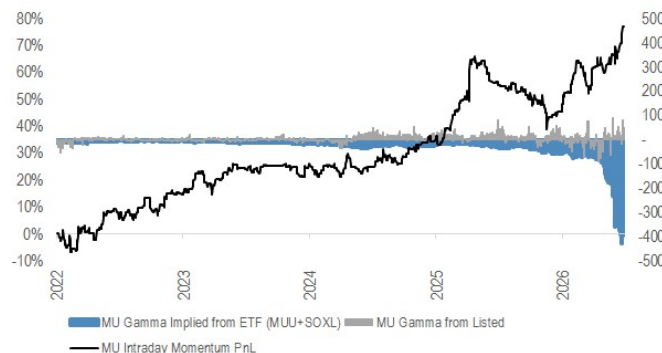
Left - % rtn intraday strategy, Right - Gamma in \$mm



Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

Figure 13: Dealer's Gamma from Listed Compared to Short Gamma from Top ETFs in MU

Left - % rtn intraday strategy, Right - Gamma in \$mm



Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

We take NVDA and MU for example as they are the top levered ETF names in the semi space. From their biggest levered ETF and SOXL contribution only, in NVDA the dealer receives long gamma from the **rapid increase in overwriting activities since 2023** in SPX overwriting ETF and the stock itself ([link](#)). The long gamma position became very sizable especially from mid 2025. This offsets and overtook the short gamma effect from levered ETF, causing a **poor intraday PnL delivery since mid 2025 (Figure 12)**. However, we note the latest update shows a decreasing long inventory post June expiry.

For MU however, the dealer's positing is more balanced from listed flow, while the **ETF short gamma is much more significant** especially since April 2026 (Figure 13). The size of short gamma from just MUU and its contribution in SOXL is already a very large percentage of ADV. Subsequently, intraday momentum PnL has been delivering **high returns especially in the past months**.

Improvements in Signals and Execution

As we identified a higher vol underlying would be a better choice, we focus on the improvements in the SOXX base strategy on **trigger signals and execution** details, with findings in single stocks as well.

Trigger Signal - Magnitude of Move

What would be a fair signal to flag the likelihood of a successful intraday trade? We examined using **fixed % move** compared to the similar measure for stocks of using **implied vol breakeven**.

Figure 14: SOXX Intraday PnL For % Move Signals

Signal	Avg PnL (bps)	Hit Ratio	Sharpe Ratio	Trigger (%)
1% Previous Close	11.6	54%	1.06	76%
2% Previous Close	15.9	57%	0.95	39%
3% Previous Close	23.0	60%	0.84	18%

Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

Figure 15: SOXX Intraday PnL For Implied Vol Break Even Signals

Signal	Avg PnL (bps)	Hit Ratio	Sharpe Ratio	Trigger (%)
0.5x Imp Vol BE	8.9	53%	0.92	87%
1.0x Imp Vol BE	13.7	56%	1.08	49%
1.5x Imp Vol BE	16.1	60%	0.91	23%

Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

The **higher (more strict) the trigger criteria, the better the result**, despite entering at higher spot levels. However, there is a **trade-off between the number of trades being picked up** if we set the signal level too high.

Option market 1x implied vol breakeven should be a more standard measure but using this in SOXX would cut out too many trades while 1% price signal is a good base solution after all. That said, we note the **effectiveness of using implied vol break even ahead of macro event dates**, as the forward-looking information is priced in just like earnings dates for single stocks.

Event Dates and Earnings Dates

For the index, a 1% trigger on event date could cause larger drawdowns compared to using the implied vol breakeven, as volatility intraday easily triggers early action. Therefore during event dates, we should use a stricter 1.5x implied vol signal.

Figure 16: SOXX Intraday PnL for % Return Signals in Event Days

Strategy	Event	Avg_pnl_bp	Hit Ratio	Sharpe	Trigger%
1% Previous Close	FOMC	-16.7	54%	-1.34	97%
1% Previous Close	NFP	29.3	59%	2.18	88%
1% Previous Close	CPI	16.9	50%	1.35	96%
1% Previous Close	ISM Service	33.5	62%	3.13	93%
1% Previous Close	ISM Manufacturing	15.4	43%	1.38	93%
1% Previous Close	Any Event	15.4	52%	1.3	94%
1% Previous Close	No Event	11.7	54%	1.1	88%
1% Previous Close	All Days	12.5	53%	1.15	89%

Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

Figure 17: SOXX Intraday PnL or Implied Vol Signals in Event Days

Strategy	Event	Avg_pnl_bp	Hit Ratio	Sharpe	Trigger%
1.5x Imp Vol BE	FOMC	29.1	78%	3.72	25%
1.5x Imp Vol BE	NFP	63.2	74%	6.74	37%
1.5x Imp Vol BE	CPI	-2.2	50%	-0.15	38%
1.5x Imp Vol BE	ISM Service	50.7	69%	4.34	24%
1.5x Imp Vol BE	ISM Manufacturing	1	45%	0.09	36%
1.5x Imp Vol BE	Any Event	29.4	60%	2.46	31%
1.5x Imp Vol BE	No Event	10.6	58%	1.24	25%
1.5x Imp Vol BE	All Days	15.2	59%	1.6	26%

Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

For single stocks, the PnL from earnings compared to non-earnings dates is very significant. If we only focus on the **stocks with implied vol above 35**, the PnL and hit ratio are much more **significant in earnings than non earnings** dates (Figure 18). Using a **higher breakeven cut-off** shows even better results, again at the cost of a smaller number of trades (Figure 19).

An additional observation is during non-earnings periods, the med-high vol stocks have a **bias of reversal** once a large move has occurred (1.5% Impl vol non-earnings case in Figure 19).

Figure 18: Intraday PnL for Stocks with 1x Implied Vol Trigger

1x Imp Vol BE	IV_Regime	AvgPnL_bps	Hit_pct	N_Obs
Earnings	Med High(35-48)	31.3	53	574
Earnings	High(48-72)	20.8	55	327
Earnings	Very High(72-88)	13.4	57	53
Earnings	Ultra High(>88)	46.0	53	47
Non-Earnings	Med High(35-48)	0.1	50	21491
Non-Earnings	High(48-72)	3.4	51	14553
Non-Earnings	Very High(72-88)	6.8	52	3015
Non-Earnings	Ultra High(>88)	16.1	53	2311

Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

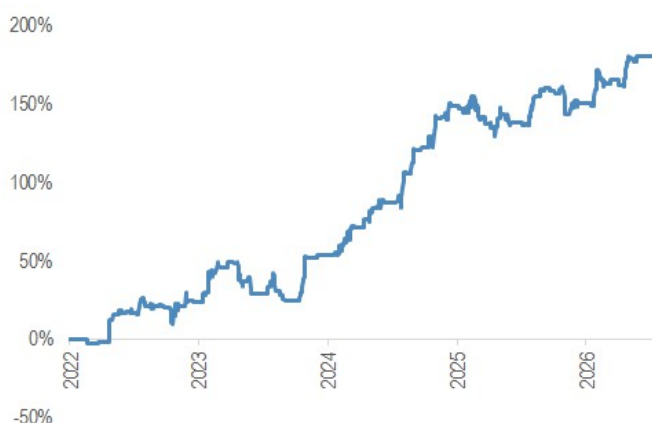
Figure 19: Intraday PnL for Stocks with 1.5x Implied Vol Trigger

1.5x Imp Vol BE	IV_Regime	AvgPnL_bps	Hit_pct	N_Obs
Earnings	Med High(35-48)	34.7	55	472
Earnings	High(48-72)	22.3	52	271
Earnings	Very High(72-88)	26.7	60	40
Earnings	Ultra High(>88)	113.8	58	38
Non-Earnings	Med High(35-48)	-0.3	50	9355
Non-Earnings	High(48-72)	2.9	50	6563
Non-Earnings	Very High(72-88)	-0.4	49	1389
Non-Earnings	Ultra High(>88)	21.1	54	1028

Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

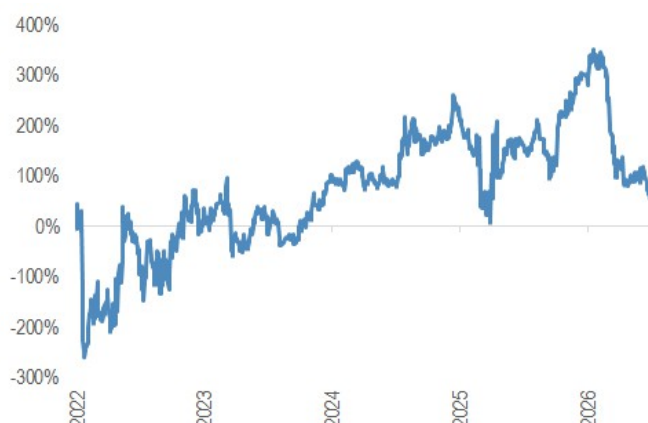
Within the results, we take the most common cluster of the “Med-High” which are stocks with implied vol between 35-48, to see the clear difference of PnL time series from **earnings and non-earnings** periods, for a 1x vol breakeven cut-off. The **intraday PnL during earnings dates is more secure (Figure 20)**, as the move is usually associated with repricing of new information on high trading volume.

Figure 20: Intraday Momentum PnL for Stocks with 1M Implied Vol 35-48 in Earnings Dates



Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

Figure 21: Intraday Momentum PnL for Stocks with 1M Implied Vol 35-48 in Non- Earnings Dates



Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

Therefore with the SOXX index, we can use 1% as the base case and on **event dates we can increase the trigger threshold** to 1.5x implied vol breakeven.

For the stocks universe, 1x implied vol breakeven is a good base case, and one should **increase the position during earnings**. For both index and stocks, one could increase the size when a **higher implied vol breakeven is also achieved**.

Entry and Exit Times - Is 3:30 the New 4PM?

The base strategy assumes entry as soon as the signal is triggered and holding the position until the close. However, is this the best execution method? Putting a sigma threshold avoids many “false alerts” but is it enough?

We conduct a detailed breakdown to find the **optimal trading period** from 2022, backtest from 2015 shares similarities too. For both index and stocks, **exit around 3:30** showed a good improvement compared to on the close.

Figure 22: Heatmap of Sharpe Ratio at Different Entry and Exit Time for Intraday Strategy in SOXX

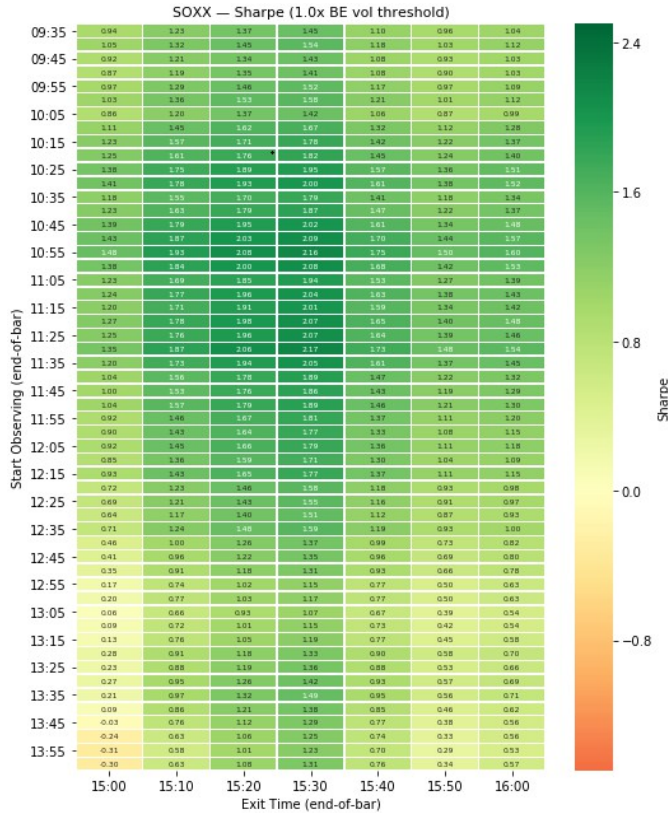
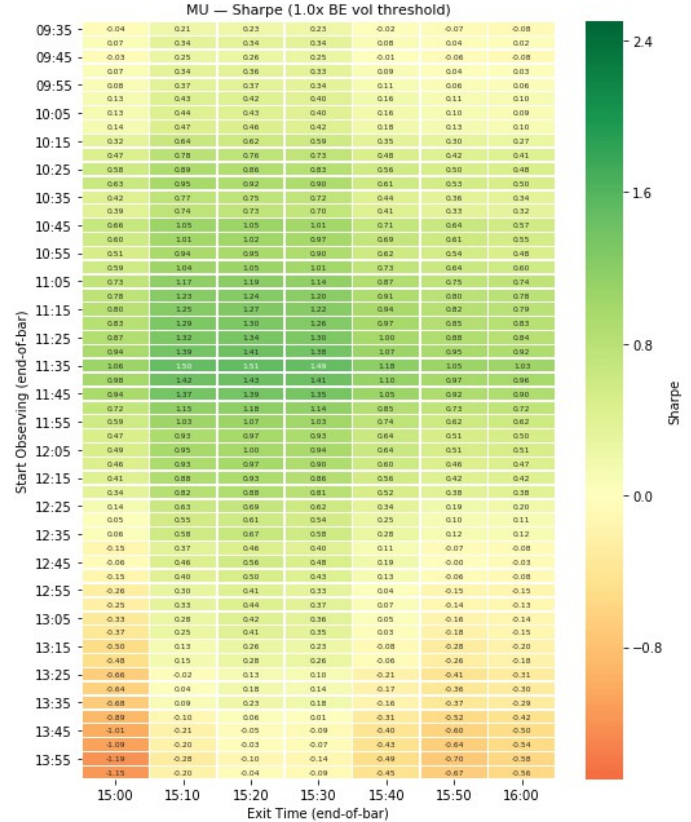


Figure 23: Heatmap of Sharpe Ratio at Different Entry and Exit Time for Intraday Strategy in MU



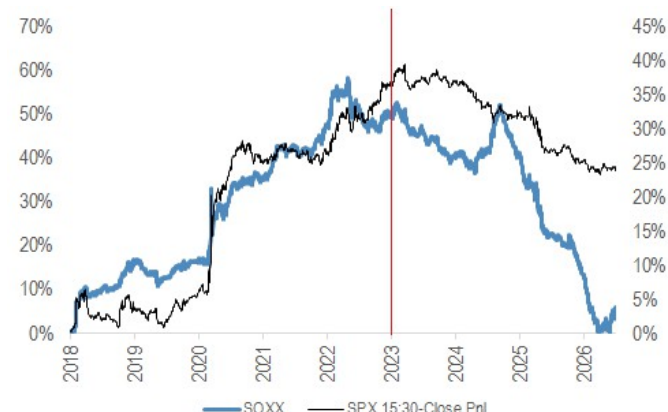
Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

A similar finding was concluded for different sigma signals and for SPX underlying. Further investigation finds the 3:30 reversal started to be **very significant since 2023** even with 0 sigma signal (Figure 24). SOXX had a similar reaction post 2023 **until the surge of levered ETF impact very recently**.

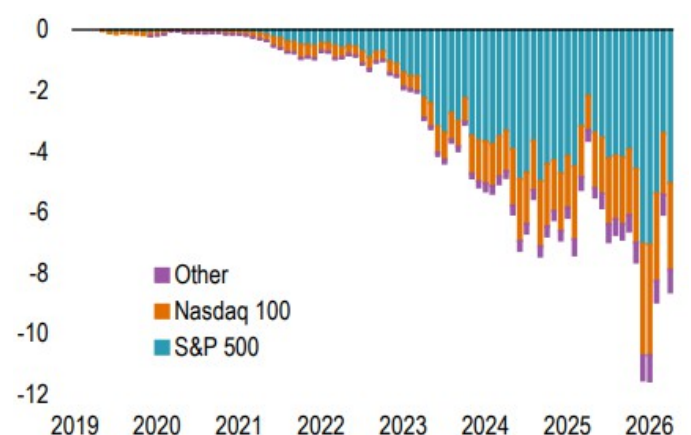
Figure 24: PnL of Intraday Momentum from 1530 (0 Sigma Signal)

Left - SOXX PnL, Right - SPX PnL



Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

Figure 25: Gamma Supply by Month (\$Bn)



Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

What could have caused this change since 2023? Are market participants starting to **pre-position and exit earlier**? Or the introduction of **0DTE in 2022** pushing vol carry to the shortest tenor? One driving force could be the result of a rapid increase in **gamma supply from overwriting ETF** as stated by JPM ETF Handbook ([link](#)) especially in SPX (Figure 25).

Another driver could be the increased retail activity on the close with a “**buy-the-dip**” bias. We see a clear difference before and after 2023 in the base strategy for SOXX in **Up days vs Down days**.

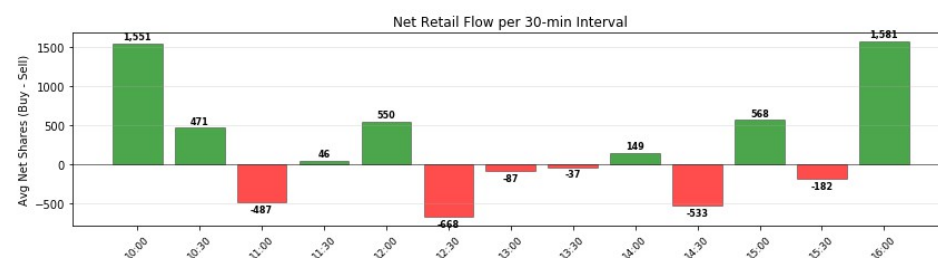
Figure 26: PnL and Hit Ratio on Up Days Much Better Than Down Days in SOXX Post 2023

Before 2023	Avg Pnl Per Trade	Avg Hit ratio	After 2023	Avg Pnl Per Trade	Avg Hit ratio
Up	0.09%	57.1%	Up	0.17%	57.9%
Down	0.08%	51.3%	Down	0.01%	45.5%

Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

From the retail order flow ([link](#)), we see a consistent **buying bias** in the last 30 minutes which could act as extra support on down day reversals.

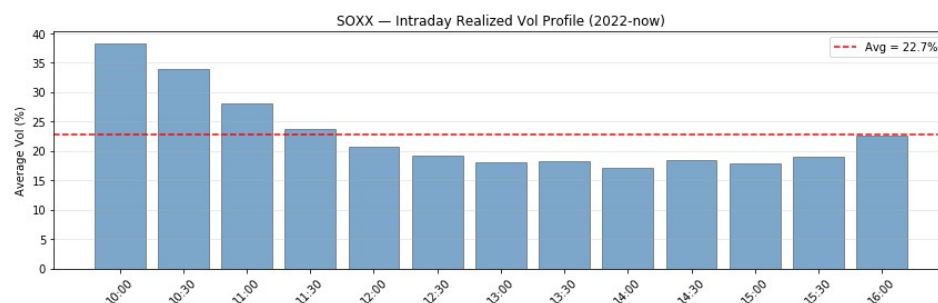
Figure 27: Net Retail Flow in SMH Shows Last 30 Min Avg Buying since 2022



Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

What about the **entry time**? Why is entering around 11am better than trading from the open? While retail activity was also strong on the open, multiple factors could drive stock prices as the market digests overnight news and the economic releases prior open. As a result, the **volatility during the first trading hour can be higher than usual**, causing potential false signal triggers.

Figure 28: Average Volatility Per 30 Mins Windows in SOXX



Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

If we avoid trading until 11AM, we could reduce possible false triggers and have a **higher confidence** of a potential momentum day. The trade off is on days where momentum starts earlier we could miss a more favourable entry level. However, the

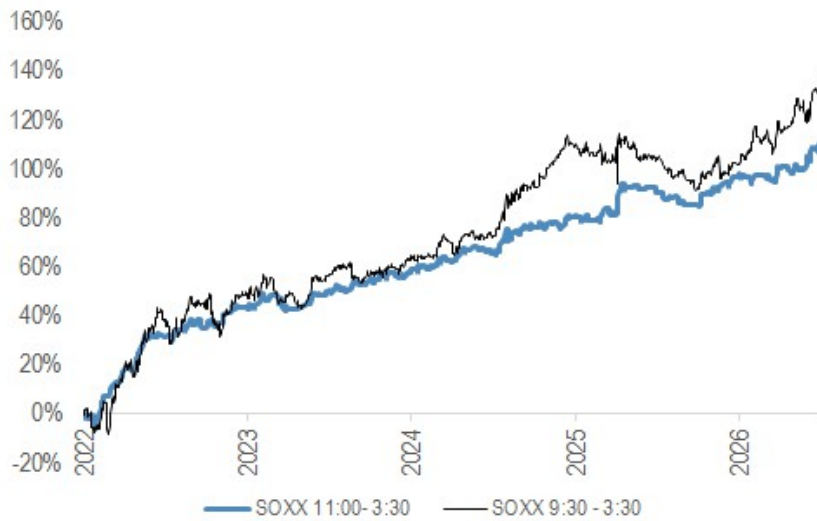
overall Sharpe ratio and drawdown is better than starting from open.

Figure 29: SOXX Intraday Momentum Strategy at Different Trading Windows Sharpe Ratio from 2022

Strategy	Total PnL	Sharpe	Max DD
SOXX 9:30 - 3:30	129.8%	1.14	-12.50%
SOXX 11:00- 3:30	110.1%	2.04	-5.60%

Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

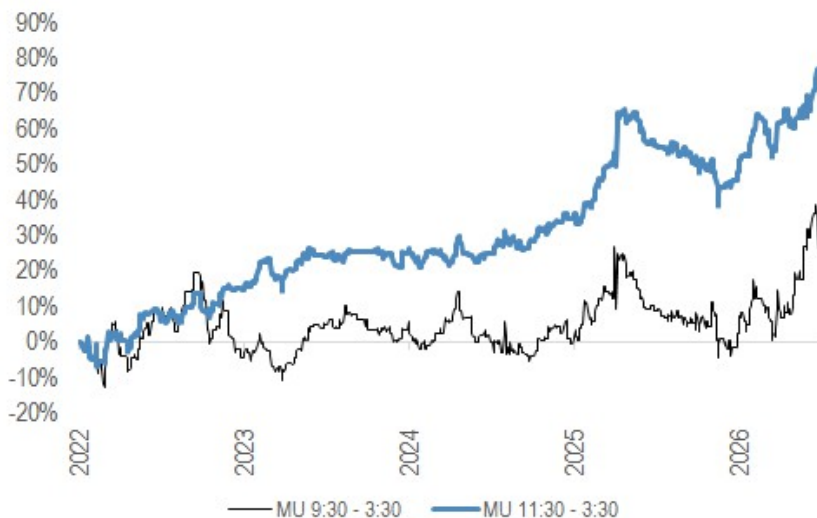
Figure 30: SOXX Intraday Momentum Strategy at Different Trading Windows from 2022



Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

In single stocks, a similar finding holds and the damage could be much larger should a false signal be triggered before 11AM, given the **higher volatility**. We demonstrate the effect with an intraday strategy in MU below.

Figure 31: MU Intraday Momentum Strategy at Different Trading Windows from 2022



Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

Conclusions and Improvements

The studies above show a good environment for intraday momentum strategies occurs during **high volatility periods** and in **high volatility underlyings**. The best days are **market correction** and **event dates** such as earnings or macro announcements. The best candidates are names that not only have high vol but also have the dealer's effective net **short gamma position** (e.g. Levered ETF). Optimal trading window is between **11AM and 3:30PM**, and the signal measured by implied volatility is robust with **more confidence in larger moves**.

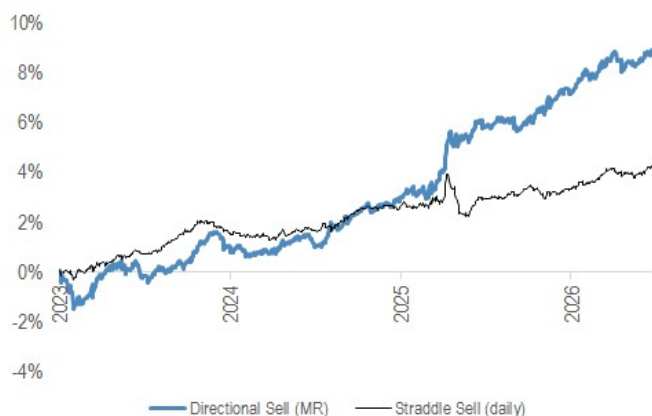
We note that the period the strategy could underperform during **lower volatility periods or range-bound markets**. Here we investigate effective overlay with a carry strategy on the index trade, and a possible "safer" short vega position using FVA on single stocks.

Index and 0DTE Strategy

As we identified a poorer performance in a lower volatility underlying such as SPX. We could therefore use it as a **good candidate for the carry leg** given also the ongoing gamma supply from overwriting. With the introduction of 0DTE in 2022, we looked at two implementations of the carry.

The first one is the 3:30 reversal into the close - we could make a **directional sell ATM put or call** depending on momentum signal to boost carry in the final 30 minutes. This proves to be more profitable than blindly selling 0DTE straddles without a direction bias (Figure 32).

Figure 32: 0DTE Overwriting Strategy Last 30 Mins Compared to Outright Straddle



*No Cost Assumption

Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

Figure 33: SPX 1DTE Carry vs SOXX Intraday Momentum

Left - SOXX Pnl, Right - SPX Pnl



With Cost Included

Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

The second one is **sell a SPX 1DTE ATM straddle daily** on the close against the **long SOXX intraday momentum** (Figure 33). During the periods of declining volatility, the SPX leg could enhance the carry. For days of large moves that hurt the SPX short straddles, SOXX momentum tends to outperform.

For the final improved strategy, we combine the findings above, with 11- 3:30 execution windows while keeping 1% signal, and 50% extra notional for days above 1.5x implied volatility breakeven. We are able to achieve a **Sharpe ratio of 2.29 with worst drawdown of 8.4% since 2022** with the help of the SPX carry legs (Figure 34).

Figure 34: SOXX Improved Strategy of Intraday Momentum



Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

Single Stock Universe and FVA

For the single stock universe, our key takeaway is to focus on **high volatility names** with large effective **short gamma** background, and be more active during **earnings days**. The names with large **levered ETF** financials present a good opportunity currently.

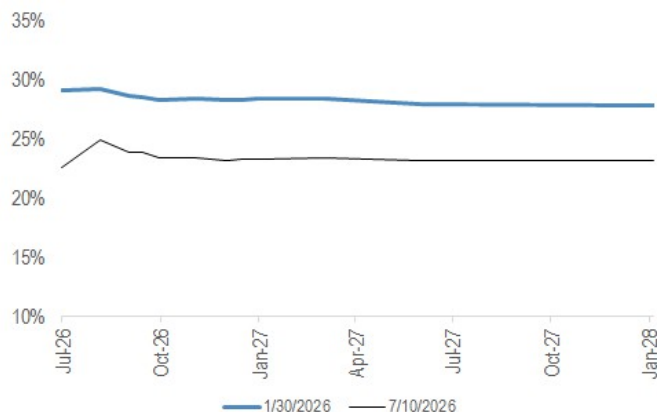
However, we acknowledge the implied volatility on these names is also trading near uncharted territory ([link](#)). Our previous studies found extreme implied volatility is a signal for **long front end gamma and short long dated vega** position ([link](#)).

While the “semi rush” may be new in equities in recent history, we did just see a similar vibe in **commodities** recently. From the peak of the “gold rush” in Jan, to the spike in oil price from the war, both **spot and vol reached a record high** earlier this year. The implied vol curve was bid up **across all maturities**. Short dated gamma has still delivered since, but **longer tenor implied volatility reset significantly** after a few months of price consolidation (Figure 35 ,Figure 36).

With the high vol semi stocks, we can make use of the **Forward Vol Agreement (FVA)** structure to **avoid shorting the gamma** part of the curve while positioning for a potential **vol reset on the back end** in a “safer” manner. The payoff was explained in a previous report in details ([link](#)), and could act as a **complementing carry leg to the long intraday momentum strategy** in the single names.

Figure 35: GLD Fixed Strike Vol Reset Since Jan 30th

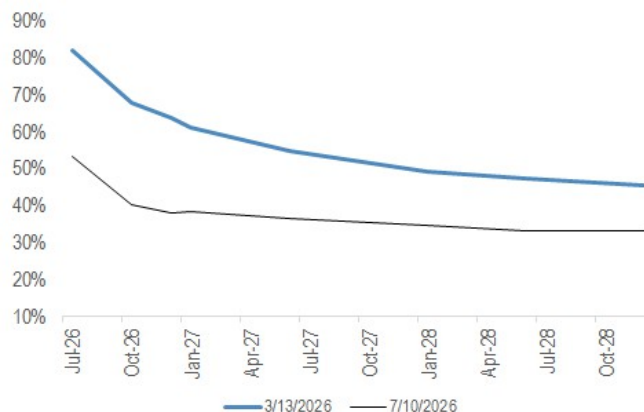
Fixed Strike Vol Term Structure at 444.95 (1/30 close)



Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P

Figure 36: USO Fixed Strike Vol Reset since Mar 13th

Fixed Strike Vol Term Structure at 119.89 (3/13 close)



Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P

We show the indicative bids for **fixed strike FVA for Jan27 start date with expiry at Jan28**. Because of the high level of implied vol, we also show pricing for 120% strike as it is closer to 50 delta.

If spot prices start to deteriorate from here, investors would be **short an upside strike that becomes less bid**. If spot rallies further to confirm the AI story, **volatility should start to come off from the peak** to benefit the short vega position. Pairing the **short FVA with an intraday strategy** would behave similar to a long gamma short vega position without the expensive premium of owning gamma.

Figure 37: Indicative Bids for Fixed Strike FVA on Semi Names for ATM and 120% Strike Call

Ticker	Start	Expiry	Spot	ATM Call	120% Call	Vol Ref (ATM Spot Start)
AMD	eJan27	eJan28	557.89	70.17	70.3	72.15
AVGO	eJan27	eJan28	399.97	51.86	51.84	52.75
MU	eJan27	eJan28	979.3	84.43	83.97	87.23
QCOM	eJan27	eJan28	189.16	63.58	64.11	63.58
TSM	eJan27	eJan28	434.11	51.73	51.86	52.14
INTC	eJan27	eJan28	109.84	78.62	79.27	81.55
SOXX	eJan27	eJan28	581.34	50.92	49.53	54.99
SMH	eJan27	eJan28	611.03	46.6	45.25	49.51

Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P

We have seen a lot of evidence of similarities in volatility and correlations space for the **current market compared to 1998/1999** ([link](#), [link](#)). Owning intraday momentum strategy could act as an orthogonal hedge to long equities, **without paying a premium for expensive put option protection**. The levered ETF momentum could accelerate PnL delivery of such a strategy in effected names and index. However, **pairing with a “safer” carry leg** is also very important to enhance the PnL during range-bound periods.

Appendix - Stocks Intraday Momentum PnL

Figure 38: Top 20 stocks by Hit Ratio

Ticker	Sector	Hit_Ratio_pct	Avg_PnL_bps
KLAC	Information Technology	61.04	30.26
MPWR	Information Technology	57.71	30.46
ASTS	Communication Services	57.29	40.56
TER	Information Technology	57.08	20.56
INTU	Information Technology	56.48	4.70
COIN	Financials	55.77	21.40
ORCL	Information Technology	55.60	8.88
MGM	Consumer Discretionary	55.40	1.62
MRVL	Information Technology	55.02	14.36
CTSH	Information Technology	54.77	4.40
GEN	Information Technology	54.52	8.49
TSLA	Consumer Discretionary	54.46	14.26
AXP	Financials	54.46	2.28
LRCX	Information Technology	54.44	20.38
TXN	Information Technology	54.21	7.37
LULU	Consumer Discretionary	54.02	2.04
TWLO	Information Technology	53.92	4.80
ILMN	Health Care	53.81	2.29
NLY	Financials	53.75	-0.33
INTC	Information Technology	53.70	7.27

Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

Figure 40: Top 20 stocks on Earnings by Hit Ratio

Ticker	Sector	Hit_Ratio_pct	Avg_PnL_bps
NEM	Materials	82.35	148.51
TSLA	Consumer Discretionary	80.00	118.62
APA	Energy	80.00	125.54
SNOW	Information Technology	78.57	70.77
ZM	Information Technology	78.57	84.21
KLAC	Information Technology	77.78	114.02
DOCN	Information Technology	73.68	61.64
RIVN	Consumer Discretionary	72.22	115.89
LRCX	Information Technology	71.43	48.57
BMJ	Health Care	71.43	65.73
SIRI	Communication Services	71.43	92.66
URI	Industrials	70.59	100.98
LMT	Industrials	70.00	66.42
MRVL	Information Technology	68.75	89.90
OVV	Energy	68.75	0.96
UAL	Industrials	68.75	77.99
PEP	Consumer Staples	68.18	29.08
HAL	Energy	66.67	28.40
OKTA	Information Technology	66.67	68.10
TYL	Information Technology	66.67	120.02

Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

Figure 39: Bottom 20 stocks by Hit Ratio

Ticker	Sector	Hit_Ratio_pct	Avg_PnL_bps
T	Communication Services	42.17	-3.81
MRK	Health Care	44.04	-6.49
CVX	Energy	44.23	-3.67
IBM	Information Technology	44.32	-5.37
MA	Financials	44.71	-4.46
LMT	Industrials	45.09	-8.21
V	Financials	45.31	-6.17
COST	Consumer Staples	45.65	-5.54
EXPE	Consumer Discretionary	45.71	-10.54
MMM	Industrials	45.75	2.53
COF	Financials	45.76	-7.01
GWRE	Information Technology	45.80	0.55
BSX	Health Care	45.97	-8.96
AMGN	Health Care	46.06	-5.07
TTWO	Communication Services	46.11	-10.18
FDX	Industrials	46.14	-1.28
CPNG	Consumer Discretionary	46.19	-10.08
RKT	Financials	46.19	-14.18
MO	Consumer Staples	46.29	-3.76
DIS	Communication Services	46.50	-3.77

Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

Figure 41: Bottom 20 stocks on Earnings by Hit Ratio

Ticker	Sector	Hit_Ratio_pct	Avg_PnL_bps
GE	Industrials	18.75	-38.39
PG	Consumer Staples	20.00	-61.41
IBM	Information Technology	21.05	-86.23
PCG	Utilities	25.00	-54.88
DKS	Consumer Discretionary	26.67	-32.50
PFE	Health Care	27.27	-40.13
DDOG	Information Technology	27.78	-90.93
AXP	Financials	27.78	-66.75
DHI	Consumer Discretionary	28.57	-75.60
TOL	Consumer Discretionary	31.25	-74.36
CRWD	Information Technology	31.25	-90.43
QCOM	Information Technology	31.25	9.56
STZ	Consumer Staples	31.58	16.22
CPNG	Consumer Discretionary	31.58	-84.47
GILD	Health Care	31.58	-28.30
MRK	Health Care	31.58	-34.31
CMCSA	Communication Services	31.58	-83.42
FTNT	Information Technology	31.58	-78.71
GLW	Information Technology	31.82	-23.48
BBY	Consumer Discretionary	33.33	-121.37

Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

Appendix - Recent Publications

Equity Volatility Strategy

[Dispersion, Mag7 Volatility Opportunity And Inverted Skew](#)

[Dispersion At The Extremes - What Happens After a 100% 1M Return](#)

[Gamma Supply and Earnings Dispersion Update](#)

[Have Parameters Normalized Too Much?](#)

[What To Long, Short And When \(Part II\)](#)

[“Too Big to Move”? Dispersion Update and RV Opportunities](#)

[Lesson From The 2022 Playbook](#)

[Vol RV opportunities amid the software correction](#)

[What to Long, Short, and When \(Part I\)](#)

[Why index vol is so low and MXWO dispersion](#)

[Term-structure inversion, NVDA, Gamma dispersion and VIX](#)

[Thinking Outside the Box for Tail Trading](#)

[Thinking Outside the Box for Tail Trading - Part 2](#)

[Correlation and Volatility at the Lows: What to do](#)

[Take some chips off the table, replace with leveraged option](#)

[Trading US macro events with short-dated options](#)

[The case for long dated Upvar](#)

Comprehensive Reports on Dispersion

Sep 2023: [A Practical Dispersion Trading Handbook](#)

Sep 2024: [Systematic Dispersion Update and Trade Ideas](#)

Apr 2025: [Dispersion Update, Index Technique, Stock Leg and What Now](#)

Oct 2025: [Dispersion Update, AI vs Dot-Com and Earnings](#)

Cross Asset Volatility Strategy

[Trend, Oil and Gold Derivatives and ML Model Update](#)

[2022 Deep Dive, Oil and Gold Update, FOMC and ML Model Update](#)

[Oil Derivatives and “Cheaper To Deliver” Macro Hedges](#)

[Gold Through the Lens of Derivatives: Positioning and Trade](#)

[FOMC Implied Moves, AI Credit Hedge and ML Model Output Update](#)

[Record Short Gamma in Gold ETF and Machine Learning Based Trade Recommendations](#)

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Put Sale: Investors who sell put options will own the underlying asset if the asset's price falls below the strike price of the put option. Investors, therefore, will be exposed to any decline in the underlying asset's price below the strike potentially to zero, and they will not participate in any price appreciation in the underlying asset if the option expires unexercised.

Call Sale: Investors who sell uncovered call options have exposure on the upside that is theoretically unlimited.

Call Overwrite or Buywrite: Investors who sell call options against a long position in the underlying asset give up any appreciation in the underlying asset's price above the strike price of the call option, and they remain exposed to the downside of the underlying asset in the return for the receipt of the option premium.

Booster : In a sell-off, the maximum realized downside potential of a double-up booster is the net premium paid. In a rally, option losses are potentially unlimited as the investor is net short a call. When overlaid onto a long position in the underlying asset, upside losses are capped (as for a covered call), but downside losses are not.

Collar: Locks in the amount that can be realized at maturity to a range defined by the put and call strike. If the collar is not costless, investors risk losing 100% of the premium paid. Since investors are selling a call option, they give up any price appreciation in the underlying asset above the strike price of the call option.

Call Purchase: Options are a decaying asset, and investors risk losing 100% of the premium paid if the underlying asset's price is below the strike price of the call option.

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Straddle or Strangle: The seller of a straddle or strangle is exposed to increases in the underlying asset's price above the call strike and declines in the underlying asset's price below the put strike. Since exposure on the upside is theoretically unlimited, investors who also own the underlying asset would have limited losses should the underlying asset rally. Covered writers are exposed to declines in the underlying asset position as well as any additional exposure should the underlying asset decline below the strike price of the put option. Having sold a covered call option, the investor gives up all appreciation in the underlying asset above the strike price of the call option.

Put Spread: The buyer of a put spread risks losing 100% of the premium paid. The buyer of higher-ratio put spread has unlimited downside below the lower strike (down to zero), dependent on the number of lower-struck puts sold. The maximum gain is limited to the spread between the two put strikes, when the underlying is at the lower strike. Investors who own the underlying asset will have downside protection between the higher-strike put and the lower-strike put. However, should the underlying asset's price fall below the strike price of the lower-strike put, investors regain exposure to the underlying asset, and this exposure is multiplied by the number of puts sold.

Call Spread: The buyer risks losing 100% of the premium paid. The gain is limited to the spread between the two strike prices. The seller of a call spread risks losing an amount equal to the spread between the two call strikes less the net premium received. By selling a covered call spread, the investor remains exposed to the downside of the underlying asset and gives up the spread between the two call strikes should the underlying asset rally.

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